There is obviously no template or manual for becoming a knowledge institution, nor is there a comprehensive list of attributes. Becoming a knowledge institution is a continuous process of learning from the best practices in the world, oftentimes reinventing them to suit our home context, pushing the envelope, asking questions, being open-minded, acting with professionalism and integrity, and encouraging an institutional culture that cuts through hierarchies.

That takes me to the third big challenge for the Reserve Bank—to widen and deepen financial inclusion. We all know from personal experience that economic opportunity is strongly intertwined with financial access. Such access is especially powerful for the poor as it provides them opportunities to build savings, make investments, avail credit, and above all, insure themselves against income shocks. At the aggregate level, financial inclusion provides an avenue for bringing the huge savings of the poor into the formal financial intermediation system, and for channelling them into much-needed investment. One of the big takeaways from the outreach programme initiated on my watch has been that financial inclusion is not just a public good; it is also a merit good. It empowers poor people in diverse ways. If there is to be ‘inclusive growth’, financial inclusion is the next big idea, as it will at once promote both growth and equity.

The final challenge for the Reserve Bank is to become a more transparent and sensitive institution. As a public institution, it has an obligation to deliver quality service at the cutting-edge level. The bank needs to listen to the people, be sensitive to their concerns and responsive to their needs.

Release of RBI History Volume

The Reserve Bank initiated a project for recording its institutional history from the time of its establishment in 1935, based on archives and oral interviews of key players. The first three volumes covered the period up to 1981, and were released before I became governor. The fourth volume, covering the period 1982–97, was ready for release by early 2013.